LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

What is Financial Bank Guarantee (BG) ?

Developed by www.loanbazaaronline.com

Sr.No.	TITLE	Page No.
1.	Module 1: Theoretical Foundations and Product Philosophy of Financial Bank Guarantees	3-5
2.	Module 2: Structural Taxonomy and Comparative Analysis (The Guarantee Matrix)	6-8
3.	Module 3: The End-to-End Operational Lifecycle of Financial Bank Guarantees	9-10
4.	Module 4: Credit Underwriting, Cash Margin Sizing & Financial Assessment	11-12
5.	Module 5: Legal Security Architecture, Enforcement & Statutory Framework	13-14
6.	Module 6: Suitable Industries, Business Profiles, and Ecosystem Market Alignment	15
7.	Module 7: Commercial Pricing Mechanics, Cost-Benefit Analysis & Interest Tax Shields	16
8.	Module 8: Regulatory Compliance, RBI Guidelines, FEMA & IRACP Norms	17-18
9.	Module 9: Comprehensive Real-World Case Study (Mumbai Infrastructure & Engineering Pvt. Ltd.)	19-21
10.	Module 10: 10-Question Professional Certification Examination & Rationales	22-24

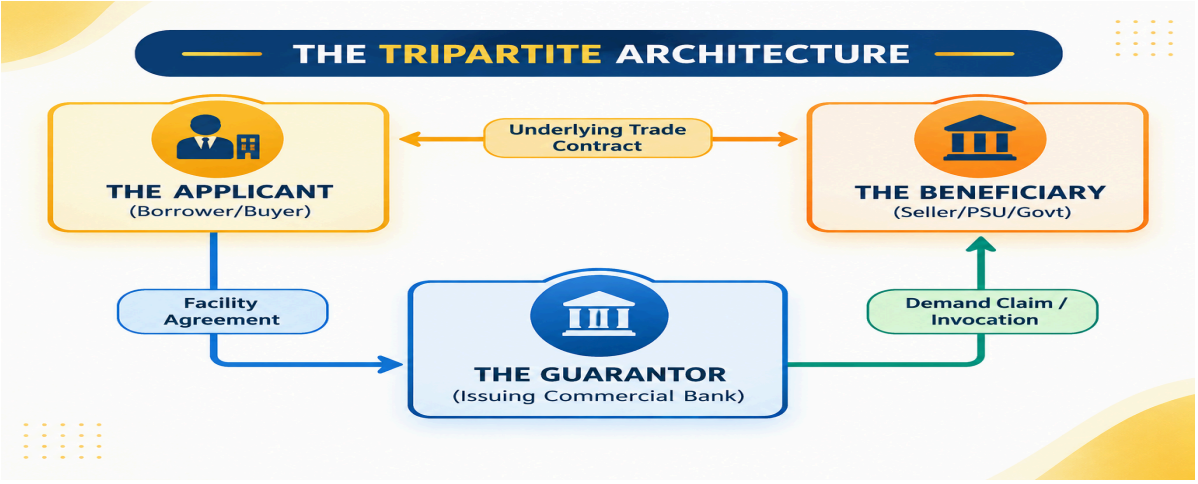
Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved

Module 1: Theoretical Foundations and Product Philosophy of Financial Bank Guarantees

1.1 The Tripartite Legal Structure of Bank Guarantees

In Indian commercial banking and corporate trade finance, a **Financial Bank Guarantee (FBG)** is a non-fund-based (NFB) credit facility governed by **Section 126 of the Indian Contract Act, 1872**. Section 126 defines a contract of guarantee as *"a contract to perform the promise, or discharge the liability, of a third person in case of his default."*

A Financial Bank Guarantee establishes an independent, legally binding **tripartite contract** involving three distinct commercial entities:



1. **The Applicant (Principal Debtor):** The corporate customer, contractor, or commercial borrower who requests the issuing bank to establish the guarantee in favor of a third party to satisfy a contractual or statutory financial obligation.
2. **The Beneficiary (Creditor):** The counterparty (e.g., government department, public sector undertaking, corporate buyer, customs authority, or lessor) to whom the financial guarantee is issued, and who holds the legal right to invoke the guarantee upon the applicant's financial default.
3. **The Guarantor (Issuing Bank):** The licensed commercial bank or financial institution that issues the guarantee instrument, undertaking an absolute, irrevocable commitment to pay a specified monetary sum to the beneficiary upon receiving a written demand or claim notice complying with the terms of the guarantee.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved

1.2 Distinction Between Financial Bank Guarantees and Performance Bank Guarantees

Under guidelines issued by the Reserve Bank of India (RBI) and trade practice, bank guarantees are classified into two primary categories based on the nature of the underlying risk:

- **Financial Bank Guarantees (FBG):** Guarantees issued by a bank undertaking to pay a specified sum of money in lieu of a financial obligation or monetary liability of the applicant. In an FBG, the bank's liability is directly linked to the repayment or settlement of monetary obligations—such as repayment of mobilization advances, payment of customs duties, taxes, deferred purchase costs, lease rentals, or credit facilities.
- **Performance Bank Guarantees (PBG):** Guarantees issued to protect the beneficiary against monetary loss resulting from the applicant's failure to perform non-financial contractual obligations, technical milestones, or service-level agreements (such as delay in project completion, defective equipment supply, or failure to meet technical parameters).

1.3 The Legal Principle of Autonomy and Injunction Standards in India

A cornerstone of the Indian banking and legal system is the **Principle of Autonomy of the Bank Guarantee**. Judicial precedents established by the Supreme Court of India—including landmark rulings in *U.P. State Sugar Corporation v. Sumac International Ltd. (1997)* and *Standard Chartered Bank v. Heavy Engineering Corporation Ltd. (2020)*—reaffirm that a bank guarantee is an **independent, separate contract** distinct from the underlying commercial contract between the applicant and the beneficiary.

When a beneficiary invokes an unconditional Financial Bank Guarantee, the issuing bank is legally bound to make immediate payment without demanding proof of breach from the beneficiary or entertaining objections raised by the applicant. Indian courts strictly enforce the rule that judicial injunctions or stay orders against the invocation of an unconditional bank guarantee can only be granted under two exceptional circumstances: 1. **Egregious Fraud:** Fraud of an egregious nature committed in connection with the issuance or invocation of the guarantee, of which the issuing bank has notice. 2. **Irretrievable Harm / Injustice:** Special equities where the invocation would cause irretrievable harm, injustice, or irreparable injury to the applicant, such that it would be impossible for the applicant to recover the funds later.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved

1.4 Non-Fund Based (NFB) Credit Nature and Off-Balance-Sheet Treatment

Financial Bank Guarantees are structured as **Non-Fund Based (NFB)** credit facilities. Unlike fund-based loans (such as Cash Credit or Term Loans) where bank funds are disbursed immediately on Day 1, the issuing bank does not outlay cash at the time of BG issuance. Instead, the bank assumes a **contingent monetary liability**.In the applicant's financial statements prepared under Indian Accounting Standards (**Ind AS 37** / **Ind AS 109**), an active Financial Bank Guarantee is disclosed as a **Contingent Liability in the Notes to Accounts**, rather than as a funded liability on the face of the balance sheet. This off-balance-sheet status preserves the applicant's direct leverage ratios (such as Debt-to-Equity) while satisfying the beneficiary's security requirements.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved

Module 2: Structural Taxonomy and Comparative Analysis (The Guarantee Matrix)

To establish a clear operational framework, finance trainees must contrast Financial Bank Guarantees against other trade and credit security instruments available in the Indian financial system:

Structural Dimension	Financial Bank Guarantee (FBG)	Performance Bank Guarantee (PBG)	Letter of Credit (LC)	Standby Letter of Credit (SBLC)	Cash Collateral / FD Lien
Primary Economic Purpose	Assures fulfillment of direct monetary liabilities (advances, duties, leases, loans).	Assures completion of technical performance, supply quality, or project timelines.	Primary payment mechanism for trade purchase contracts upon document presentation.	Backup credit facility paying upon applicant's primary payment default.	Direct liquidity blockage through 100% lien on cash/FDs.
Primary Governing Law / Framework	Section 126 of Indian Contract Act, 1872 / RBI Master Circular.	Section 126 of Indian Contract Act, 1872 / RBI Master Circular.	ICC UCP 600 Rules / Foreign Exchange Management Act (FEMA).	ICC URDG 758 / ISP98 / UCP 600.	Section 176 of Indian Contract Act (Pledge/Lien).
Payment Trigger / Demand Mechanism	Simple written demand or claim statement by beneficiary certifying financial default.	Claim statement certifying non-performance or technical default.	Presentation of strictly compliant trade/shipping documents (Bill of Lading).	Beneficiary statement of non-payment along with invoice copy.	Direct unilateral set-off or lien enforcement by holder.
Balance Sheet Disclosure	Disclosed as Contingent Liability	Disclosed as Contingent Liability	Contingent Liability until document	Disclosed as Contingent Liability	Encumbered Asset disclosed under

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved

Structural Dimension	Financial Bank Guarantee (FBG)	Performance Bank Guarantee (PBG)	Letter of Credit (LC)	Standby Letter of Credit (SBLC)	Cash Collateral / FD Lien
(Applicant)	under Notes to Accounts (Ind AS 37).	under Notes to Accounts (Ind AS 37).	acceptance/lodgement.	in Notes to Accounts.	Cash & Cash Equivalents.
Typical Bank Commission Spread	0.75% to 2.50% p.a. (higher risk weight than PBG).	0.50% to 1.75% p.a. (lower risk weight than FBG).	0.50% to 1.50% p.a. plus lodgement/usance fees.	1.00% to 2.25% p.a. commitment fee.	Zero commission; interest earned on FD (6.0%-7.0% p.a.).
Typical Cash Margin Required	10% to 25% FD margin (up to 100% for lower-rated firms).	5% to 15% FD margin depending on credit rating.	10% to 20% FD margin depending on rating.	15% to 30% FD margin depending on rating.	100% upfront cash outlay.
Maximum Tenure Offered	1 to 5 years (up to 10 years for government infra projects).	1 to 3 years (aligned with project execution/ defect liability).	90 to 180 days (up to 3 years for capital goods).	1 to 3 years (renewable annually).	Infinite / aligned with contract duration.

2.1 Major Sub-Types of Financial Bank Guarantees

Within the Financial BG category, commercial banks issue specialized guarantee variants tailored to specific trade and commercial requirements:

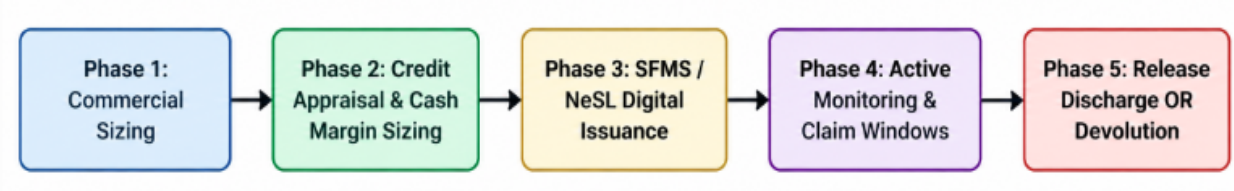
1. **Mobilization Advance Bank Guarantee:** Issued to secure cash advances provided by a project owner/employer to a contractor at the commencement of a contract. If the contractor fails to utilize or adjust the advance according to contractual terms, the employer can invoke the BG to recover the unadjusted advance sum.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved

2. **Customs and Excise Bank Guarantee:** Issued in favor of the Central Board of Indirect Taxes and Customs (CBIC) or Government Tax Authorities to enable importers/manufacturers to clear goods under concessional duty schemes (e.g., EPCG, Advance Authorization, or Bonded Warehousing) subject to meeting export/duty obligations.
3. **Deferred Payment Guarantee (DPG):** Issued to secure installment payments owed by an capital equipment buyer to a machinery supplier over an extended credit period (e.g., 3 to 7 years).
4. **Financial Repayment / Credit Enhancement BG:** Issued to guarantee the principal and interest repayments of corporate debentures, commercial paper, or secondary borrowings raised by a group company.
5. **Bid Bond / Earnest Money Deposit (EMD) Guarantee:** Issued to replace cash EMDs required when bidding for public tenders, guaranteeing that the bidder will not withdraw their bid or refuse to execute the contract if awarded.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved

Module 3: The End-to-End Operational Lifecycle of Financial Bank Guarantees



3.1 Phase 1: Commercial Contract Review and Guarantee Clause Sizing

The lifecycle begins when the applicant enters into a commercial agreement (such as a tender, supply contract, or lease) requiring a Financial Bank Guarantee. The issuing bank's credit team scrutinizes the draft guarantee text to verify critical legal clauses: * **Capped Monetary Exposure:** The guarantee text must state a definitive, maximum monetary limit in Indian Rupees (₹). Open-ended or uncapped BGs are prohibited under RBI guidelines. * **Expiry Date & Claim Period:** The BG must specify an explicit **Expiry Date** (the last date for occurrence of the underlying obligation) and an explicit **Claim Period** (an extended window, typically 12 months under **Section 28 of the Indian Contract Act**, during which the beneficiary can submit a written claim for defaults that occurred prior to expiry). * **Invocation Jurisdiction:** Specifying the designated bank branch where claim documents must be physically or electronically lodged.

3.2 Phase 2: Credit Appraisal, NFB Limit Sanction and Margin Sizing

The applicant applies to their commercial bank for sanction of a **Non-Fund Based (NFB) Bank Guarantee Limit**. The credit team evaluates the applicant's corporate creditworthiness, financial statements, and existing total credit exposure. Based on the credit rating, the bank establishes the **Cash Margin Prerequisite**—typically satisfied by creating a 100% lien on a Fixed Deposit (FD) pledged in favor of the bank.

3.3 Phase 3: Digital Issuance via SFMS and NeSL e-BG Framework

To eliminate paper guarantee fraud and forged instruments, the Indian banking system mandates digital transmission: 1. **SFMS Transmission:** The issuing bank generates a SWIFT-style financial message via the **Structured Financial Messaging System (SFMS)** (using MT760 / IFC760 message formats) routed through the Indian Financial Network (INFINET) directly to the beneficiary's advising bank branch. An offline paper BG is legally invalid unless confirmed via an SFMS confirmation message. 2. **NeSL Electronic Bank Guarantee (e-BG):** Under the National E-Governance Services

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved

Limited (NeSL) digital framework, paperless e-BGs are issued with digital e-Stamping (via State Holding Corporation of India - SHCIL) and e-Signatures. The e-BG is instantly available to the beneficiary in a secure digital repository, reducing issuance turnaround time from 7 days to under 30 minutes.

3.4 Phase 4: Active Facility Monitoring, Extensions and Evergreen Covenants

During the active tenure of the guarantee, the issuing bank monitors the applicant's operational status. If the underlying contract is extended, the beneficiary may request an extension of the BG validity. Under "Evergreen Covenants" or "Extend-or-Pay" clauses, if the applicant fails to submit an extension confirmation at least 15 to 30 days prior to the expiration date, the beneficiary holds the automatic right to invoke the guarantee for immediate cash payment.

3.5 Phase 5: Cancellation, Discharge, or Devolution Mechanics

- **Normal Discharge:** Upon successful completion of the underlying financial obligation, the beneficiary returns the original paper BG (or issues an online NeSL discharge confirmation) with an explicit cancellation letter. The bank cancels the NFB limit and releases the FD cash margin lien.
- **Devolution (Invocation Payment):** If the applicant defaults on the underlying financial obligation, the beneficiary lodges a formal written claim prior to the expiry of the claim period. Under UCP/RBI guidelines, the issuing bank must pay the claim sum within 24 to 48 hours. If the applicant fails to reimburse the bank immediately, the payment is treated as an **Invoked BG Devolution**, converting the off-balance-sheet NFB exposure into an immediate, high-cost fund-based demand loan.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved

Module 4: Credit Underwriting, Cash Margin Sizing & Financial Assessment

Credit underwriting for Financial Bank Guarantees requires assessing both the corporate repayment capacity of the applicant and the risk of invocation default.

4.1 Traditional Working Capital Sizing Frameworks

Underwriters apply classical credit sizing frameworks to assess the applicant's overall financial health:

1. **Tandon Committee's Second Method of Lending:**
    - Underwriters evaluate the borrower's **Consolidated Balance Sheet** to ensure that Current Assets are funded by Current Liabilities (excluding bank borrowings) and long-term Net Working Capital (NWC). The borrower must maintain a minimum **Current Ratio of 1.33:1** (or 25% NWC contribution), ensuring sufficient liquidity to absorb contingent liabilities.
2. **Projected Turnover Method (PTM / Nayak Committee):**
    - Applied for MSME limits up to **₹5 Crores**. The total credit requirement is estimated at **25% of the projected annual turnover**, with the promoter contributing **5% as equity/NWC margin** and the bank providing **20% as working capital limits** (fund-based and non-fund-based combined).
3. **Cash Budget Method (CBM):**
    - Applied for infrastructure contractors, seasonal vendors, and EPC firms. The bank evaluates a 12-month projected monthly cash flow statement to verify that peak operational cash deficits are adequately supported without triggering BG invocations.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved

4.2 Scorecard Metrics, FD Liens and Validation Portals

To determine the cash margin percentage and collateral requirements for an FBG limit, underwriters evaluate the following credit metrics:

FBG CREDIT SCORECARD & MARGIN MATRIX			
Corporate Credit Rating	**Promoter CIBIL**	**CIBIL MSME Rank**	**FD Cash Margin %**
AAA / AA (Tier 1)	> 750	CMR 1 - CMR 2	0% to 10% Margin
A / BBB (Tier 2)	700 - 750	CMR 3 - CMR 4	15% to 25% Margin
BB / B (Tier 3 / MSME)	650 - 700	CMR 5 - CMR 6	30% to 50% Margin
Unrated / Distress	< 650	CMR 7 - CMR 10	100% Cash Margin

- **Promoter CIBIL Score & CMR Rank:** Target promoter CIBIL score must be **>700**, and the CIBIL MSME Rank must be between **CMR 1 and CMR 4**.
- **Interest Coverage Ratio (ICR):** Target ICR (EBITDA / Gross Interest) must be **>1.25x**, ensuring that operational earnings easily cover both fund-based interest and NFB guarantee commissions.
- **Account Aggregator Bank Statement Velocity:** Lenders run automated scripts on 12-month bank statements to detect cheque bounces, circular transactions, and cash drain patterns.
- **GST Portal API Matching:** Real-time API scripts match the applicant's GSTR-1 (sales liability) and GSTR-3B filings against GSTR-2B input tax credits to verify that turnover projections backing the BG application reflect genuine commercial trade.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved

Module 5: Legal Security Architecture, Enforcement & Statutory Framework

The legal enforceability of Financial Bank Guarantees in India relies on specific statutory provisions under commercial, property, and banking laws.

5.1 Key Statutory Provisions

1. **Sections 126, 127 & 128 of the Indian Contract Act, 1872:**
    - Section 126 defines the guarantee contract. Section 127 establishes that any promise or consideration given for the benefit of the principal debtor is sufficient consideration for the bank to give the guarantee. Section 128 establishes that the liability of the guarantor (bank) is **co-extensive** with that of the principal debtor, unless explicitly limited by the guarantee contract terms.
2. **Section 28 of the Indian Contract Act, 1872 (Exception 3):**
    - Section 28 renders agreements restricting legal proceedings void, but **Exception 3** specifically permits banks issuing guarantees to stipulate a minimum **claim period of not less than one year** from the date of expiry of the guarantee during which the beneficiary must lodge claims.
3. **Section 130 of the Transfer of Property Act, 1882:**
    - Governs the absolute assignment of actionable claims. In FBG structuring, applicants execute an assignment of contract receivables and escrow cash flows in favor of the issuing bank, allowing the bank to capture incoming project funds to satisfy devolved BG claims.
4. **Section 172 & 176 of the Indian Contract Act, 1872 (FD Pledge & Lien):**
    - Governs the pledge of Fixed Deposit receipts provided as cash margin. Under Section 176, if the BG devolves and the applicant fails to reimburse the bank, the issuing bank holds the immediate, out-of-court right to set off the pledged FD against the devolved debt.

5.2 Mandatory Security Covenants and Public Registrations

- **Counter-Guarantee & Master Facility Agreement:** The applicant executes an unconditional counter-guarantee in favor of the issuing bank, promising to indemnify and reimburse the bank fully for any claim payments made under the FBG.
- **CERSAI & ROC Registration (Form CHG-1):** Under the SARFAESI Act, 2002, and the Companies Act, 2013, any hypothecation or charge created on the current assets or corporate property to secure NFB Bank Guarantee limits must

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved

be registered on the **CERSAI portal and filed with the Registrar of Companies (ROC Form CHG-1) within the strict statutory window of 30 days**.

- **e-Stamping and State Stamp Acts:** The paper BG instrument or NeSL e-BG must be executed on digital stamp paper complying with the relevant State Stamp Act (e.g., Maharashtra Stamp Act, Karnataka Stamp Act) via SHCIL e-stamping protocols.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved

Module 6: Suitable Industries, Business Profiles, and Ecosystem Market Alignment

Financial Bank Guarantees are heavily deployed across capital-intensive, high-value sectors of the Indian economy where upfront cash deposits are inefficient.

6.1 Target Sectoral Applications

1. **Infrastructure, Roads & Civil Engineering (EPC Contractors):** Contractors executing National Highways Authority of India (NHAI), CPWD, or State PWD projects utilize Mobilization Advance FBG to secure 10% to 15% upfront cash advances, unlocking working capital without liquidating equity.
2. **Power, Solar & Renewable Energy SPVs:** Developers setting up multi-megawatt solar/wind parks issue Financial Guarantees to State Discoms or Solar Energy Corporation of India (SECI) as security for grid connectivity, power purchase agreement (PPA) financial commitments, and equipment import duty deferrals.
3. **Mining, Oil & Gas, and Energy Concessionaires:** Bidders for coal block auctions, city gas distribution (CGD) networks, and offshore drilling blocks issue FBGs as financial security for minimum work program commitments.
4. **Import-Export Trade & Customs Authorities:** Importers clear capital goods and machinery under EPCG or Advance Authorization schemes by issuing Customs FBGs to the CBIC, deferring custom duties until export obligations are fulfilled.

6.2 Working Capital Market Dynamics and Digital Infrastructure Trends

National commercial credit data published in the **SIDBI MSME Pulse Report** highlights macro trade trends: * **Trader Credit Concentration: Retail and Wholesale Traders represent the largest segment of commercial borrowers, accounting for 44% of total active commercial credit accounts** in the ₹10 Lakh to ₹2 Crore exposure range, underlining the critical need for non-fund-based guarantees to support trade credit chains. * **SBI Digital Portals Transformation:** State Bank of India (SBI) leads digital supply chain and trade credit execution through specialized platforms: * **SBI e-VFS (Electronic Vendor Financing Scheme):** Supports upstream suppliers with an active corporate portfolio of **₹28,092 Crores**. * **SBI e-DFS (Electronic Dealer Financing Scheme):** Facilitates downstream dealer networks with an outstanding portfolio size of **₹49,261 Crores**. * **NeSL e-BG National Rollout:** Public sector and private commercial banks have migrated over 80% of trade guarantee issuances to the NeSL paperless e-BG platform, eliminating manual verification lags and stamping fraud across major public tenders.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved

Module 7: Commercial Pricing Mechanics, Cost-Benefit Analysis & Interest Tax Shields

Understanding the true commercial cost of a Financial Bank Guarantee requires analyzing bank commission structures, GST Input Tax Credits, cash margin FD yields, and corporate tax shields.

7.1 Pricing Structure and Fee Components

1. **BG Commission Rate:** Charged as an annualized percentage spread (typically **0.75% to 2.50% p.a.**) on the face value of the guarantee, billed upfront for the entire validity period (including the claim period).
2. **Processing & Issuance Fees:** Flat administrative fee (ranging from ₹2,500 to ₹25,000 per instrument or 0.10% of limit) to cover credit appraisal, legal drafting, and NeSL / SFMS transmission charges.
3. **e-Stamping Charges:** Actual stamp duty paid to the state government via SHCIL, determined by the State Stamp Act (ranging from ₹100 to ₹5,000 flat, or a percentage of BG value capped at state limits).

7.2 GST Treatment and Recoverable Input Tax Credit (ITC)

- Under the Central Goods and Services Tax (CGST) Act, 2017, bank processing fees, BG commission charges, and SFMS transmission fees attract standard **18% GST** (9% CGST + 9% SGST, or 18% IGST).
- **100% ITC Recovery:** For GST-registered commercial businesses, the 18% GST paid on BG commission is **100% recoverable as Input Tax Credit (ITC)** against the firm's output GST liability (via monthly GSTR-3B filings). Therefore, GST represents a temporary cash flow outlay rather than an absolute cost.

7.3 Corporate Income Tax Shield Mechanics

Under **Section 37(1) of the Income Tax Act, 1961**, BG commission charges, processing fees, and bank fees incurred wholly and exclusively for the purpose of business operations are **fully deductible business expenses**.

For corporate entities paying tax under the standard corporate tax regime (**25.17%** for manufacturing companies under Section 115BAA, or **31.20%** for general corporates), the net effective pre-tax cost of the guarantee commission is reduced by their marginal tax rate:

$$Net\ Post\ -\ Tax\ BG\ Commission\ Cost\ =\ Gross\ BG\ Commission\ \times\ (1\ -\ Corporate\ Tax\ Rate)$$

Furthermore, interest earned on the lien-marked Fixed Deposit provided as cash margin generates interest income (e.g., 6.50% p.a.), which offsets the gross BG commission outlay.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved

Module 8: Regulatory Compliance, RBI Guidelines, FEMA & IRACP Norms

Commercial banks issuing Financial Bank Guarantees must comply with strict regulatory frameworks established by the RBI to manage credit concentration and systemic risk.

8.1 RBI Master Circular on Guarantees and Co-Acceptances

- **Tenure Cap:** Commercial banks are advised not to issue guarantees for tenures exceeding **10 years**, except for long-term infrastructure and power projects where tenures up to 15 years may be permitted with board approval.
- **Prohibition on Guaranteeing Unsecured Loans:** Banks are strictly prohibited from issuing guarantees favoring other banks or financial institutions to secure financial credit facilities or commercial loans, preventing double-gearing of bank risk.
- **Financial vs. Performance Risk Weighting:** Under Basel III capital adequacy norms, Financial Bank Guarantees carry a **100% Credit Conversion Factor (CCF)** and higher risk-weighted asset (RWA) requirements than Performance Bank Guarantees (which carry a 50% CCF), explaining the higher commission spreads charged on FBGs.

8.2 RBI IRACP Norms and Devolution Default Delinquency Clock

When a beneficiary invokes a Financial Bank Guarantee, the issuing bank must fulfill the claim payment immediately. If the applicant fails to reimburse the bank on the same day, the payment creates a **Devolved BG Liability**.

Under the RBI's **Income Recognition, Asset Classification, and Provisioning (IRACP) Guidelines**:

IRACP DEVOLVED BG DELINQUENCY TIMELINE

Timeline	Event / Classification
Day 0	Invocation Payment Made by Issuing Bank.
Day 1 to Day 30	Account classified as SMA-0 (Special Mention Account 0).
Day 31 to Day 60	Account classified as SMA-1. Penalty interest applies.
Day 61 to Day 90	Account classified as SMA-2. Restructuring warning.
Day 91+	Account downgraded to Non-Performing Asset (NPA).

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved

- **SMA Categorization:** The devolved facility is categorized sequentially as **SMA-0** (1-30 days overdue), **SMA-1** (31-60 days overdue), and **SMA-2** (61-90 days overdue).
- **NPA Downgrade at Day 90:** If the devolved BG payment remains un-reimbursed for **more than 90 days**, the account is formally downgraded to a **Non-Performing Asset (NPA)**, triggering legal foreclosure proceedings under the SARFAESI Act, 2002.
- **180-Day Technical Review Default:** If a bank fails to conduct the mandatory annual review or renewal of an active NFB Bank Guarantee limit within **180 days** from its scheduled renewal due date, the limit is classified as a technical default and downgraded to an NPA.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved

Module 9: Comprehensive Real-World Case Study (Mumbai Infrastructure & Engineering Pvt. Ltd.)

To ground these theoretical, legal, and pricing principles in commercial reality, this module analyzes a detailed, step-by-step mathematical case study in Indian Rupees (₹) modeling a corporate infrastructure contractor choosing between cash retention vs. issuing a Financial Bank Guarantee.

9.1 The Corporate Profile and Contract Requirement

- **The Applicant:** *Mumbai Infrastructure & Engineering Pvt. Ltd. (MIEPL)*, a medium-sized EPC contractor specializing in highway bridges and civil infrastructure.
- **Corporate Tax Rate: 25.17%** (applicable under Section 115BAA of the Income Tax Act, 1961).
- **Return on Capital Employed (ROCE):** MIEPL earns an internal operating ROCE yield of **15.00% p.a.** by deploying cash into equipment and materials.
- **The Commercial Contract:** MIEPL has been awarded a **₹100,00,00,000 (₹100 Crore)** highway construction contract by a Public Sector Undertaking (PSU) employer (*National Highways Authority of India - NHAI*).
- **The Mobilization Advance Clause:** Under the contract, NHAI offers MIEPL an upfront **Mobilization Advance of 10% of the contract value**, equivalent to **₹10,00,00,000 (₹10 Crores)** in cash to mobilize machinery, site offices, and raw materials.
- **The Financial Security Requirement:** To receive the ₹10 Crore advance, NHAI requires MIEPL to provide financial security equivalent to **100% of the advance amount (₹10 Crores)**. MIEPL has two strategic options:
  - **Option A (Direct Cash Margin / Retention):** Refuse the Mobilization Advance and fund the ₹10 Crore initial mobilization entirely out of MIEPL's internal cash reserves / equity capital.
  - **Option B (Structured Mobilization Advance Financial BG):** Issue a **₹10 Crore Financial Bank Guarantee** in favor of NHAI @ 1.25% p.a. commission, backed by a **15% Cash Fixed Deposit margin** (₹1.50 Crores) pledged to the issuing bank, earning 6.50% p.a. pre-tax interest.

9.2 Complete Step-by-Step Mathematical Cost Comparison Model

The following model calculates the net 365-day pre-tax costs, GST Input Tax Credits, interest yields earned, opportunity cost of capital saved, corporate tax shields, and net post-tax financial outcomes for both pathways in Indian Rupees (₹):

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved

Financial Metric	Option A (Direct Cash Margin / Self-Funding)	Option B (Structured Financial BG Pathway)
Financial Security Exposure	₹10,00,00,000 (Self-funded cash)	₹10,00,00,000 (Mobilization Advance FBG)
Gross Advance Received from NHAI	₹0.00 (Declined advance)	**₹10,00,00,000.00**
Tenure / Duration	365 Days (1 Year)	365 Days (1 Year)
BG Commission Rate	0.00%	1.25% p.a.
Gross Bank BG Commission Cost	₹0.00	**₹12,50,000.00**
Upfront Bank Processing / SFMS Fee	₹0.00	**₹50,000.00**
Upfront GST on Fees (18%)	₹0.00	₹2,34,000.00 *(100% recoverable ITC)*
Net GST Cash Outflow Impact	₹0.00	**₹0.00** *(Net zero cost via ITC set-off)*
Cash Margin FD Required (15%)	₹0.00	**₹1,50,00,000.00** (Lien-marked FD)
Pre-Tax FD Interest Earned (6.50% p.a.)	₹0.00	**-₹9,75,000.00** *(Cash inflow credit)*
Net Internal Working Capital Unlocked	**₹0.00** (₹10 Cr cash locked in site)	**+₹8,50,00,000.00** (₹10 Cr advance - ₹1.5 Cr FD)
ROCE Yield on Unlocked Cash (15% p.a.)	₹0.00	**-₹1,27,50,000.00** *(Opportunity yield earned)*
Net Pre-Tax Opportunity-Adjusted Outlay	**₹1,50,00,000.00** *(Opportunity cost of ₹10 Cr)*	**-₹1,24,25,000.00** *(Net cash benefit)*
Corporate Income Tax Shield (25.17%)	₹0.00	**-₹81,822.50** *(Tax relief on net bank fee)*
Net Post-Tax Financial Outcome	**+₹1,12,24,500.00** (Net cost of capital)	**-₹93,02,122.50** (Net wealth addition)
Net Strategic Advantage of Option B	**Baseline**	**+₹2,05,26,622.50 Net Financial Surplus**

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved

9.3 Key Financial Findings and “So What” Analysis

The mathematical comparison demonstrates the extraordinary efficiency of Non-Fund Based Financial Bank Guarantees in corporate credit management:

- **Liquidity Optimization:** Under **Option B**, by posting a ₹1.50 Crore FD margin and paying a gross bank commission of ₹12.50 Lakhs, MIEPL successfully unlocks **₹10.00 Crores in upfront cash** from NHAI. Subtracting the ₹1.50 Crore FD margin leaves **₹8.50 Crores in net liquid cash** injected into MIEPL’s operations on Day 1.
- **ROCE Compounding & Tax Shield:** Reinvesting this ₹8.50 Crores into core EPC project execution at MIEPL’s internal 15% ROCE yield generates **₹1.275 Crores in operational profits**. Meanwhile, the interest earned on the ₹1.50 Crore FD (₹9.75 Lakhs) offsets 75% of the gross bank commission (₹13.00 Lakhs total fees), reducing the net pre-tax bank fee to just **₹3.25 Lakhs**. Furthermore, the corporate tax shield (25.17%) further reduces the net post-tax fee.
- **The “So What” Bottom Line:** Choosing the **Structured Financial BG Pathway (Option B)** delivers a massive **net financial surplus of ₹2,05,26,622.50 (₹2.05 Crores)** over Option A in a single 12-month period, while keeping MIEPL’s funded borrowing limits completely unburdened and ensuring project mobilization proceeds on schedule!

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved

Module 10: 10-Question Professional Certification Examination & Rationales

To eliminate paper guarantee fraud and forged This module contains ten scenario-based, highly rigorous practice questions designed to test a trainee's underwriting, legal, and regulatory knowledge of Financial Bank Guarantees in India.

Question 1
A corporate applicant requests an issuing bank to issue an unconditional Financial Bank Guarantee of ₹5 Crores in favor of a state government beneficiary. The draft BG text submitted by the applicant states that the guarantee shall remain valid until all contractual claims under the project are fully settled, without stating a specific calendar expiry date. How must the issuing bank respond under RBI guidelines? * A) Issue the BG as requested, because government beneficiaries are exempt from fixed expiry dates. * B) Refuse to issue the BG with open-ended validity, as RBI guidelines strictly mandate a capped monetary amount and a definitive calendar expiry date. * C) Issue the BG but automatically insert a default expiry period of 30 days. * D) Issue the BG only if the applicant provides 100% cash margin in a Fixed Deposit. * **Answer:** B * **Rationale:** Under RBI Master Circulars on Guarantees and Co-acceptances, commercial banks are strictly prohibited from issuing open-ended or uncapped bank guarantees. Every BG issued by a bank must state a definitive, maximum monetary amount and an explicit calendar expiration date.

Question 2
An EPC contractor obtains a ₹10 Crore Mobilization Advance Financial Bank Guarantee from a commercial bank. During project execution, the beneficiary alleges a financial default and lodges a written demand for full invocation of the BG. The contractor files a writ petition in the High Court seeking an injunction to restrain the bank from making payment, arguing that the beneficiary itself breached the project contract. How will the court rule under Indian legal precedent? * A) Grant the injunction, because underlying contractual disputes must be resolved before BG payment. * B) Refuse the injunction, because an unconditional bank guarantee is an independent contract, and courts will not restrain payment unless there is clear proof of egregious fraud or irretrievable harm. * C) Order the issuing bank to pay 50% of the BG amount into a court escrow account. * D) Grant the injunction automatically under Section 126 of the Indian Contract Act, 1872. * **Answer:** B * **Rationale:** As established by the Supreme Court in *U.P. State Sugar Corp v. Sumac International (1997)*, a bank guarantee is an independent contract between the bank and the beneficiary. Courts will not grant an injunction restraining invocation based on disputes in the underlying contract, except in cases of egregious fraud or irretrievable injustice.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved

Question 3
Under Section 126 of the Indian Contract Act, 1872, what are the three legal parties involved in a Financial Bank Guarantee contract? * A) The Borrower, The Lender, and The Guarantor. * B) The Principal Debtor (Applicant), The Creditor (Beneficiary), and The Surety (Issuing Bank). * C) The Mortgagor, The Mortgagee, and The Assignee. * D) The Pledgor, The Pledgee, and The Depository Participant. * **Answer:** B * **Rationale:** Section 126 of the Indian Contract Act, 1872, defines a guarantee contract involving three parties: the Principal Debtor (the applicant on whose behalf the guarantee is given), the Creditor (the beneficiary to whom the guarantee is given), and the Surety (the issuing bank that gives the guarantee).

Question 4
instruments in trade credit, through which digital platform must Indian commercial banks transmit the official confirmation message for an active Bank Guarantee? * A) Real Time Gross Settlement (RTGS) Messaging Network. * B) Structured Financial Messaging System (SFMS) / NeSL Electronic Bank Guarantee (e-BG) platform. * C) National Automated Clearing House (NACH) portal. * D) CERSAI Security Interest Registry. * **Answer:** B * **Rationale:** Official bank guarantees in India must be transmitted or confirmed electronically via the **Structured Financial Messaging System (SFMS)** (using IFC760/MT760 message formats) or issued paperlessly through the **NeSL e-BG framework** with digital e-stamping and e-signatures. Paper BGs without SFMS confirmation are legally invalid in banking practice.

Question 5
An MSME firm pays ₹2,00,00,000 for a Financial Bank Guarantee opening commission and bank processing fees, incurring ₹36,00,00 (18%) in GST. How is this 18% GST treated in the firm's financial accounting if the firm is GST-registered? * A) It is capitalized into the cost of machinery and depreciated over 10 years. * B) It is a non-recoverable dead business expense that directly reduces net profit. * C) It is 100% recoverable as Input Tax Credit (ITC) against the firm's output GST liability. * D) It is exempt from GST under RBI trade guidelines. * **Answer:** C * **Rationale:** GST paid on commercial bank processing fees and guarantee commissions is 100% eligible for Input Tax Credit (ITC) for GST-registered commercial entities under the CGST Act, 2017, allowing the business to set off this GST against its monthly output tax liabilities.

Question 6
A commercial bank issues a ₹2 Crore Financial Bank Guarantee backed by a 20% lien-marked Fixed Deposit (₹40 Lakhs). The guarantee devolves due to applicant default, and the bank pays ₹2 Crores to the beneficiary. If the applicant fails to reimburse the bank on the same day, what is the immediate regulatory classification of the devolved liability on Day 1 to Day 30 under RBI IRACP norms? * A) Sub-Standard Asset. * B) Special Mention Account 0 (SMA-0). * C) Non-Performing Asset (NPA). * D) Doubtful Debt Tier 1. * **Answer:** B * **Rationale:** Under RBI Income Recognition, Asset

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved

Classification, and Provisioning (IRACP) guidelines, an un-reimbursed devolved bank guarantee liability is categorized as **SMA-0** for the first 30 days overdue. If it remains overdue for more than 90 days, it is downgraded to an NPA.

Question 7
Under Section 28 (Exception 3) of the Indian Contract Act, 1872, what is the minimum statutory claim period that a bank guarantee can stipulate following its expiration date? * A) 30 Days * B) 90 Days * C) 180 Days * D) 1 Year (12 Months) * **Answer:** D * **Rationale:** Exception 3 to Section 28 of the Indian Contract Act, 1872, permits banks issuing guarantees to enforce a minimum claim period of **not less than one year (12 months)** from the date of expiry of the guarantee during which claims can be submitted for prior defaults.

Question 8
When a corporate applicant creates a charge on its current assets or pledged property to secure a Non-Fund Based Bank Guarantee credit limit from a commercial bank, within how many days must the charge be registered on the CERSAI portal and ROC? * A) 10 Days * B) 15 Days * C) 30 Days * D) 60 Days * **Answer:** C * **Rationale:** Under the SARFAESI Act, 2002, and the Companies Act, 2013 (Form CHG-1), all security interest charges created on corporate property or current assets must be registered with **CERSAI and the ROC within 30 days** of charge creation to preserve secured creditor priority.

Question 9
Under the Tandon Committee's Second Method of Lending, what is the minimum Current Ratio that a corporate borrower must maintain to demonstrate financial liquidity when applying for bank credit limits? * A) 1.00:1 * B) 1.15:1 * C) 1.33:1 * D) 1.50:1 * **Answer:** C * **Rationale:** The Tandon Committee's Second Method of Lending mandates that borrowers contribute at least 25% of Current Assets as Net Working Capital from long-term sources, requiring a minimum **Current Ratio of 1.33:1**.

Question 10
Under corporate tax laws in India (Section 37(1) of the Income Tax Act, 1961), how is the bank commission paid on a Financial Bank Guarantee treated for tax purposes by a manufacturing company operating under Section 115BAA (25.17% tax rate)? * A) It is non-deductible and added back to taxable income. * B) It is a fully deductible business expense, reducing taxable corporate income and creating a 25.17% tax shield. * C) It can only be deducted if the guarantee is invoked by the beneficiary. * D) It is treated as a personal liability of the company directors. * **Answer:** B * **Rationale:** Under Section 37(1) of the Income Tax Act, 1961, guarantee commissions and bank fees incurred for business operations are fully deductible business expenses, providing a tax shield equal to the corporate tax rate (25.17%).

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved